AICA LEVEL 2 · B 121

CreditSight

Explainable credit risk. Predictive liquidity intelligence.

From customer assessment to cash-flow decisions

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OBJECTIVES

One cockpit for three decision-makers

01

Credit manager

THE QUESTION

Is this limit prudent, and why?

Assess risk and review prudent credit limits with visible factor explanations.

02

Collections team

THE QUESTION

Who should we call first, and what is promised?

Prioritise customers and connect payment commitments to expected receipts.

03

CFO / treasury

THE QUESTION

Will cash stay above the floor under stress?

Stress cash assumptions, spot funding pressure and document each decision.

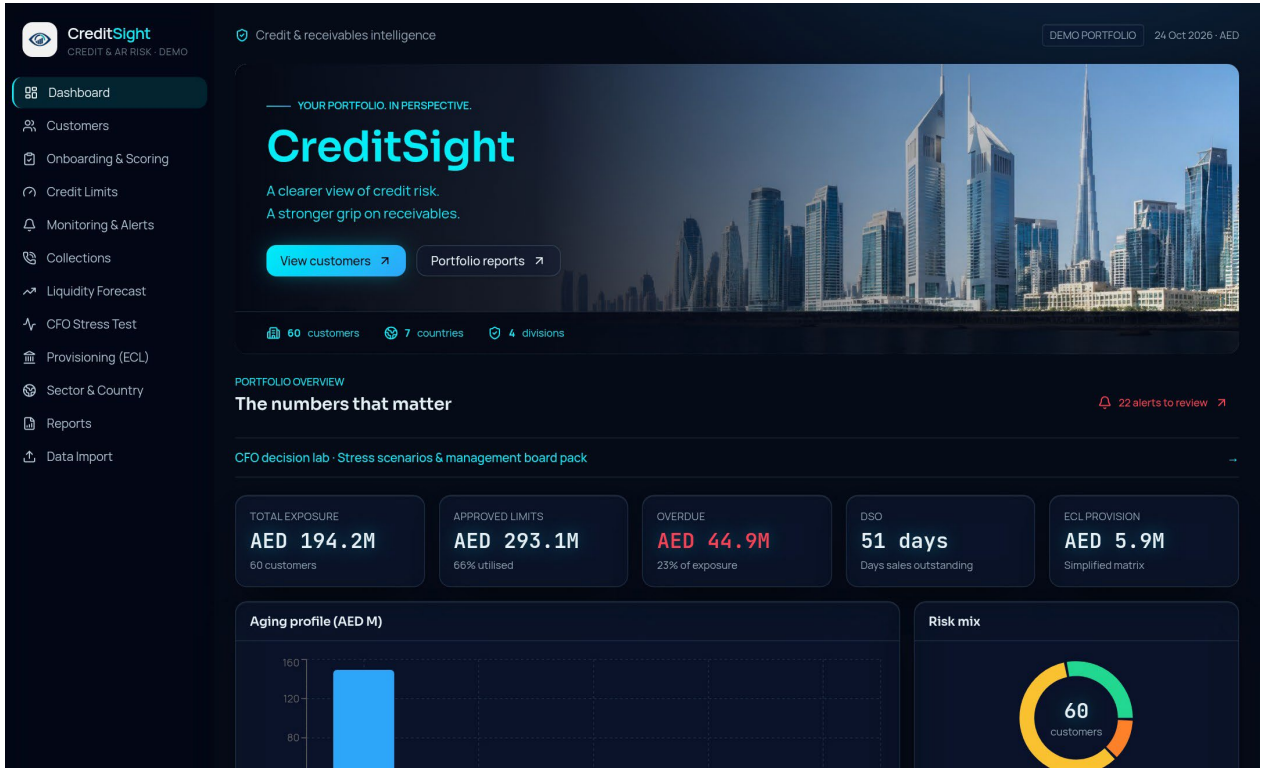
A demonstration portfolio tests the logic

60 synthetic customers

4 · 7 · 8 divisions · countries · sectors

AED 293.15M approved limits, 66% utilised

51 days days sales outstanding (DSO)



Portfolio dashboard: exposure, overdue, DSO and ECL on one screen.

END-TO-END FLOW

From customer to cash, in five steps

1

Customer

Master data, risk profile and approved limit set up.

2

Credit

Score, band and limit reviewed by the credit team.

3

Sales

Invoices create receivables against the approved limit.

4

Liquidity

Invoices and promises become dated, probability-weighted receipts.

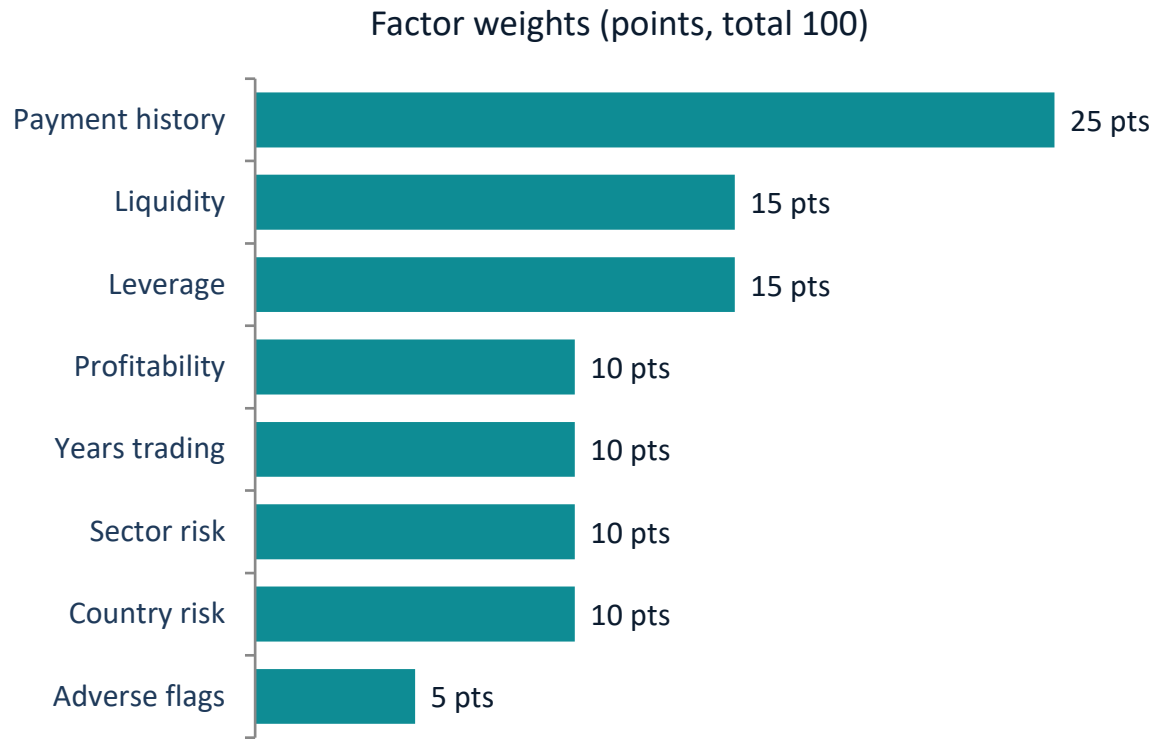
5

Collection

Risk-led worklist prioritised by overdue value, with actions logged.

A decision narrative, not an automated process: CreditSight recommends and documents; management decides and executes.

Scorecard v1.3: explainable, not a black box



Data coverage

Missing inputs reduce confidence, and the factors present are rescaled.

Override warnings

Adverse knock-outs can cap the final score.

Risk bands

75+ Low · 55–74 Medium · 35–54 High · below 35 Critical. Both v1.2 and v1.3 are selectable.

Conservative credit limits from three methods

01

Net-worth method

10% of the customer's net worth.

02

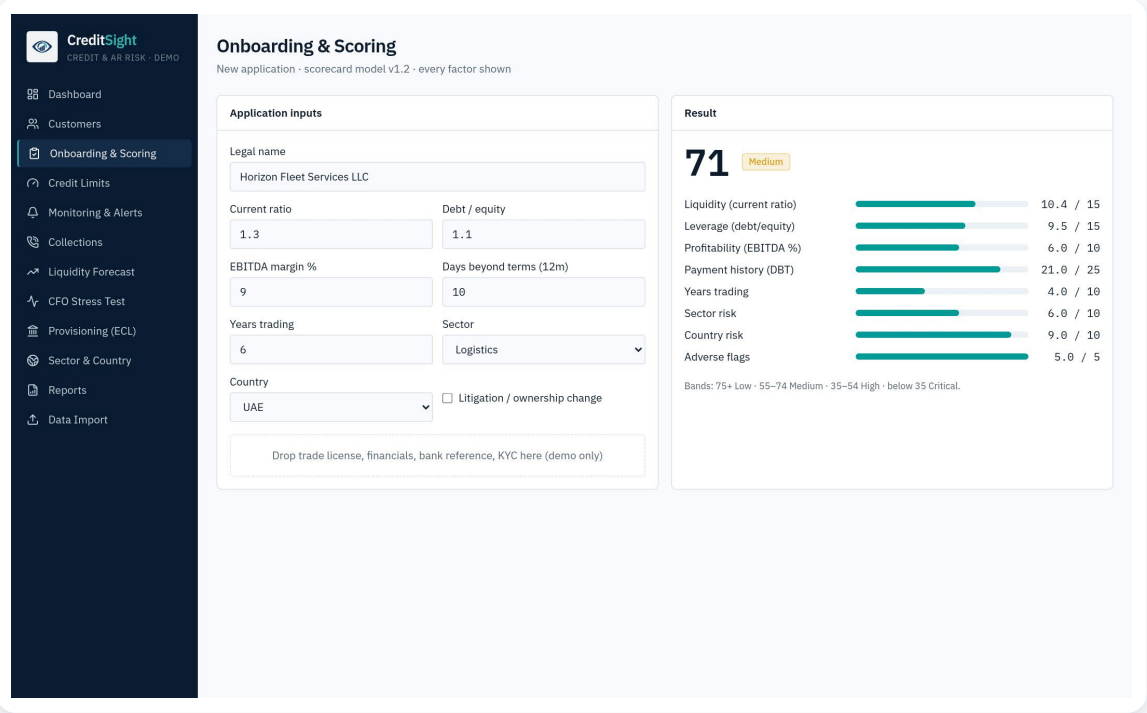
Sales and terms method

Monthly revenue × terms ÷ 30 × 1.2 × 15%.

03

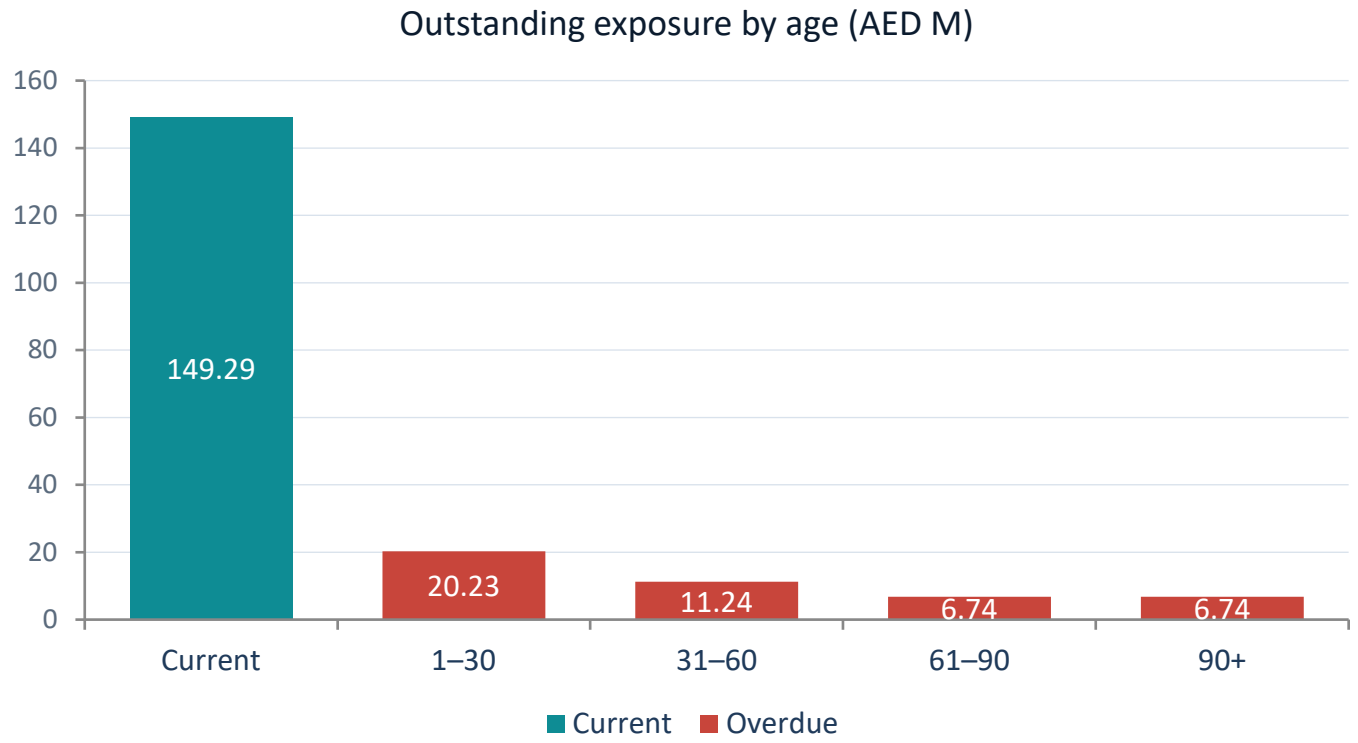
Score-tier method

Annual revenue × 5% × risk-score tier factor.



Onboarding: score, risk band and recommended action with factor-level detail.

Most exposure is current; AED 45M is overdue



AED 44.95M

overdue, 23.1% of AED 194.24M exposure

AED 6.74M

in the 90+ bucket, the highest-loss tier

51 days

days sales outstanding across the portfolio

Expected receipts start at the invoice

01

Allocate principal once

Split valid future promise amounts from the remaining due-date balance.

02

Estimate timing

Use invoice dates, historical days beyond terms, and a fallback for missed promises.

03

Weight probability

Apply customer-risk probability and promise-reliability assumptions.

155.2M

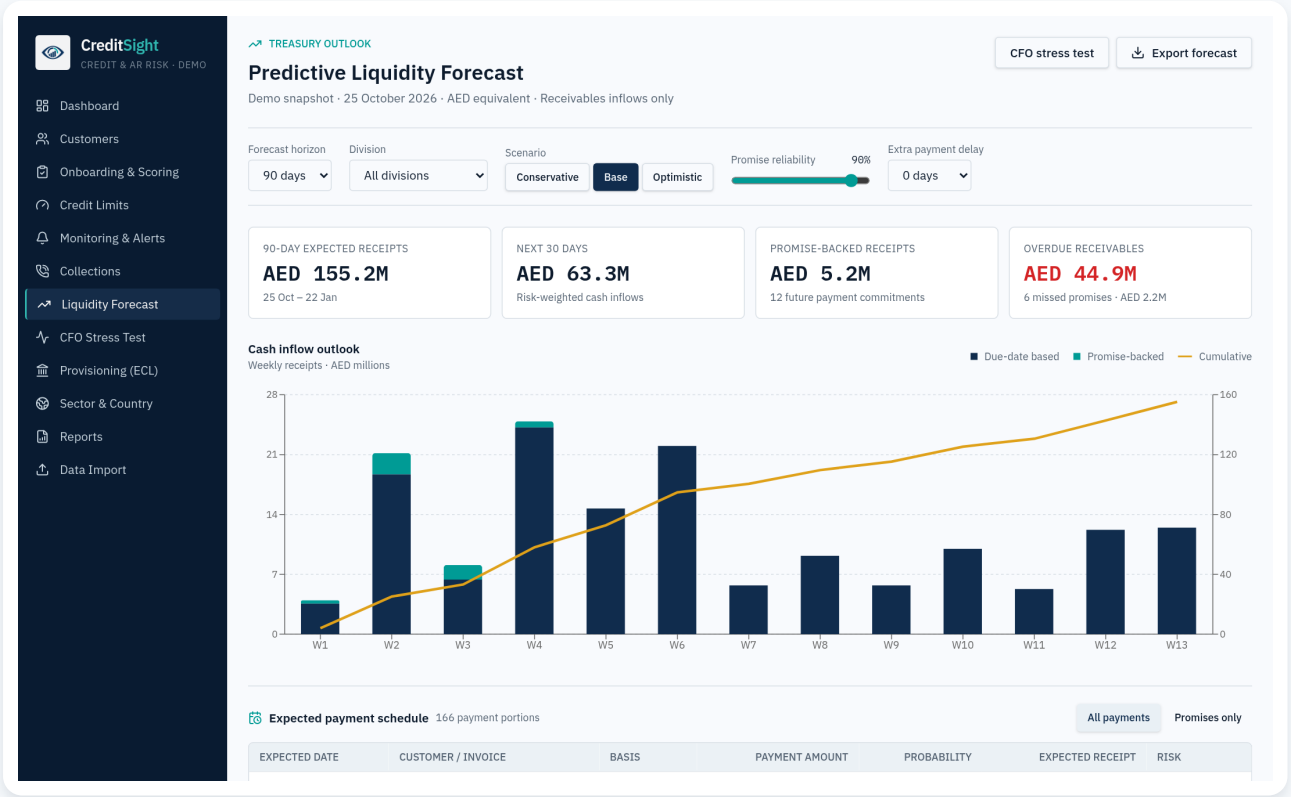
AED 90-day receipts

63.3M

AED next 30 days

5.2M

AED promise-backed, 12 commitments



Base, optimistic and conservative views, with invoice-level allocations behind each total.

Five CFO scenarios test the cash floor

Opening cash + expected receipts – operating outflows

Illustrative inputs: AED 5M opening cash · AED 8M base weekly outflows · AED 2M minimum cash floor

01

Base case

Payments arrive as forecast, at 90% promise reliability.

02

Regional slowdown

Customers pay 30 days late; 40% of promises broken.

03

Largest customer defaults

Biggest exposure stops paying; 14-day delays elsewhere.

04

Liquidity crunch

21-day delays, 60% of promises broken, outflows up 25%.

05

Collections push

On-time payments, promises kept, outflows cut 25%.

DEMONSTRATED RESULT

A liquidity crunch opens an AED 33M gap

AED 33.27M

peak cash-floor shortfall against the AED 2M floor

AED 122.17M

stressed 90-day receipts, against AED 155.23M baseline

–AED 1.40M

closing cash at day 90

Liquidity crunch assumptions: 21-day customer delays · 60% broken promises · AED 10M weekly outflows



CFO stress-test cockpit: scenario selectors, cash floor and weekly closing cash.

PROVISIONING (ILLUSTRATIVE)

Illustrative ECL of AED 6.46M, 3.32% coverage

Age bucket	Balance (AED M)	Policy loss rate	ECL (AED M)
Current	149.29	0.5%	0.82
1–30 days	20.23	2%	0.44
31–60 days	11.24	6%	0.74
61–90 days	6.74	15%	1.11
90+ days	6.74	45%	3.34
Total	**194.24**		**6.46**

Loss rates are editable policy assumptions. ECL includes a +10% forward-looking overlay (base AED 5.9M). Totals may differ by AED 0.01M due to rounding.

AED 194.24M

gross receivables

AED 6.46M

ECL provision, with overlay

3.32%

coverage of gross receivables

Not an approved IFRS 9 impairment charge. Loss rates are policy assumptions for finance review.

Reports reconciled to the portfolio view

Five portfolio reports, each in PDF and CSV

01 Aging summary

02 Customer aging detail

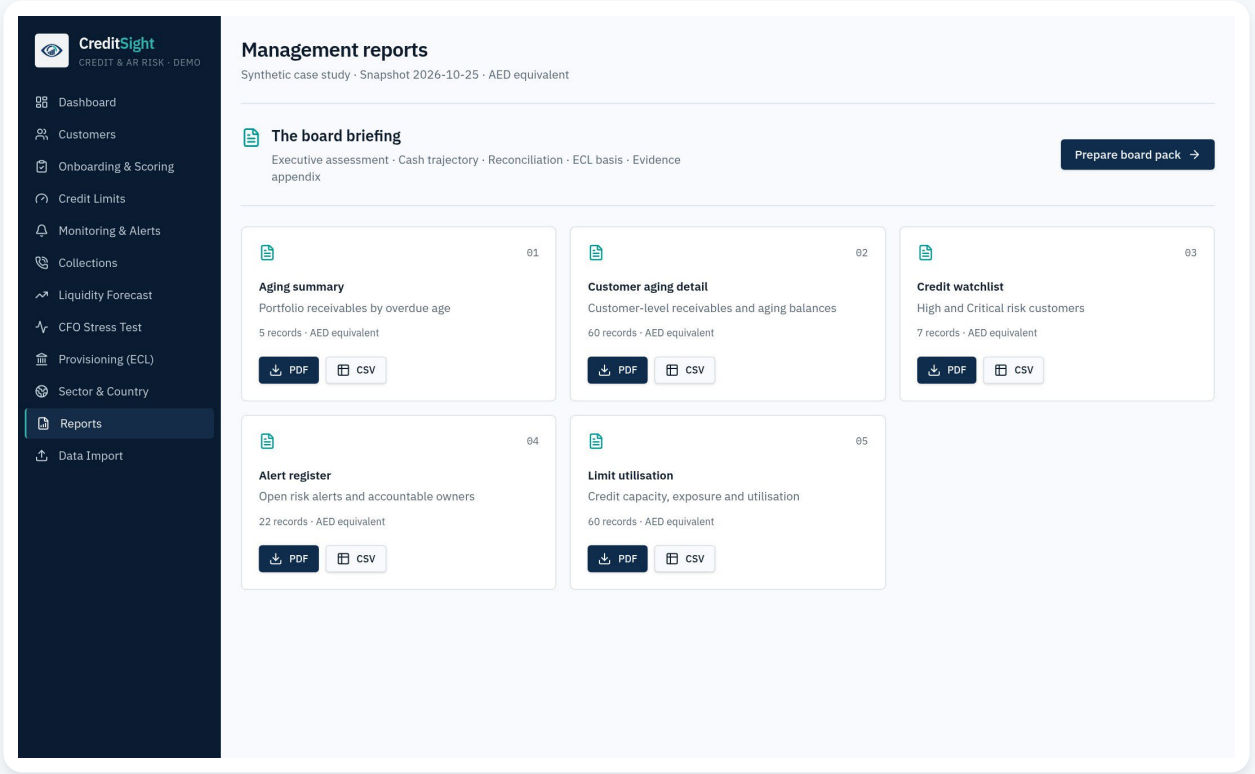
03 Credit watchlist

04 Alert register

05 Limit utilisation

Scenario board pack with stated assumptions

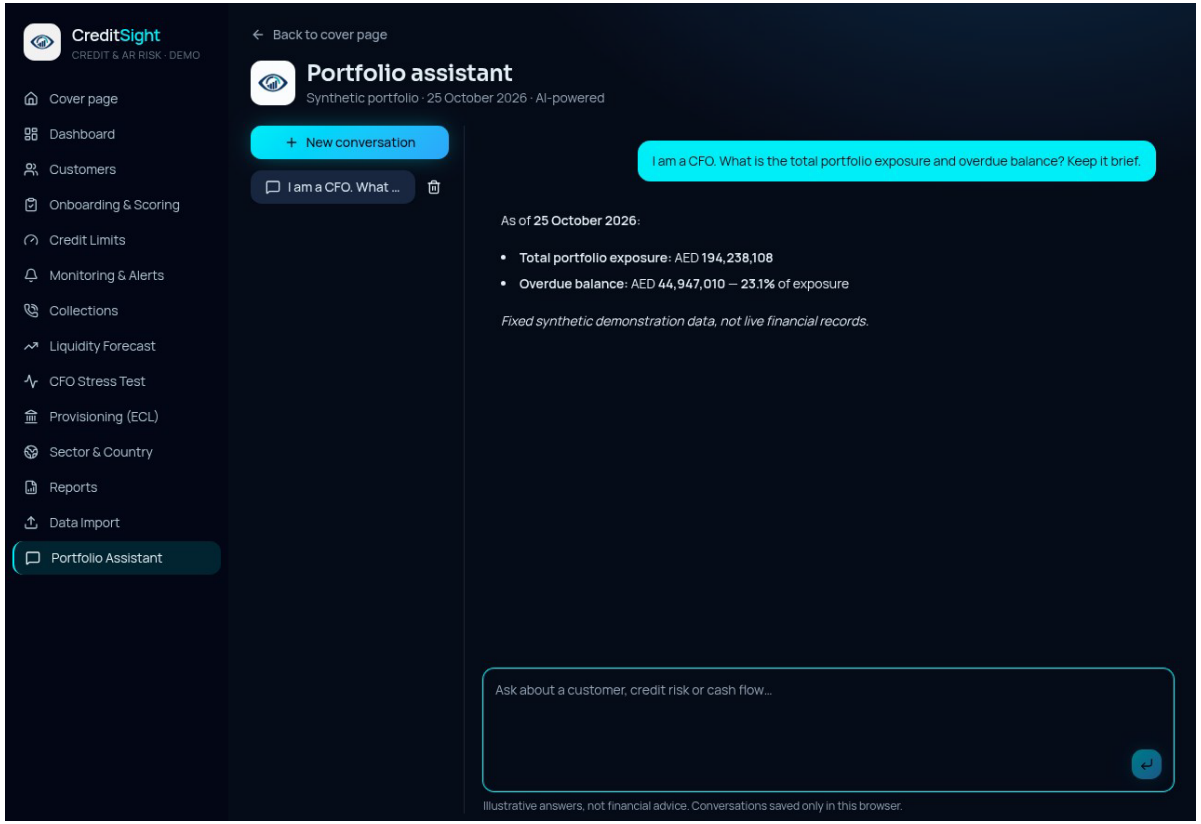
Invoice-level evidence with pagination



Management reports: PDF and CSV outputs that tie back to the dashboard totals.

AI ENHANCEMENT

A portfolio assistant grounded in the data



Portfolio assistant: multi-turn answers, saved only in this browser.

01

Multi-turn answers

Follow-up questions keep their context within a conversation.

02

Real model responses

Model access is server-only and grounded in the current portfolio context.

03

Private chat history

Conversations are saved only in the user's browser. Answers are illustrative, not financial advice.

IMPLEMENTATION

Deterministic core, real AI at the boundary

01

Presentation

- Light and Cyber-Glass interface
- Mobile home-screen support
- Browser PDF and CSV export

02

Decision core

- Deterministic demo data
- Pure scoring and forecast logic
- Stress and ECL calculations

03

AI boundary

- Server-only model access
- Grounded portfolio context
- Browser-held chat history

Not yet built: live ERP, bank or bureau connections, and production role-based approvals.

QUALITY ASSURANCE

Validation focuses on trust, not appearance

24 tests passed across five files, run on 1 November 2026

01

Traceable totals

Invoice principal reconciles to exposure, and promises are not counted twice.

02

Logic under test

Scoring, forecast allocation, stress maths, routing and chat separation are covered.

03

Observed user flows

Reports and scenario exports were checked, and AI follow-up and reload were verified.

LIMITATIONS

What is unproven, and must be disclosed

01

Model accuracy

Rules-based probabilities have not yet been backtested against actual receipts.

02

Treasury completeness

No live balances, new-sales forecast, tax calendar, financing or intraday view.

03

Production controls

Workflow actions in the demo are not durable approvals or real collection automation.

Each limitation maps to a stage on the roadmap that follows.

NEXT STEPS

A production roadmap with release gates

01

STAGE 01

Connect and protect

ERP and ledger inputs, reconciled balances, sign-in and accountable roles.

→

02

STAGE 02

Calibrate and backtest

Forecast-versus-actual analysis, score calibration and ECL policy overlays.

→

03

STAGE 03

Automate with oversight

Approved alerts, durable audit trails and controlled AI access.

Release gate: each stage opens only when the previous stage's controls are in place.

CONCLUSION

See credit risk before it becomes a cash gap.

Explainable methods · Connected decisions · Documented evidence

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Live project: creditsight.lovable.app

APPENDIX

Evidence and sources

01 Application source: deterministic portfolio, scorecard, liquidity and stress modules

02 Test run: 24 tests passed across five files, 1 November 2026

03 Product screenshots: captured for the capstone appendix, 1 November 2026

04 Scenario evidence: board pack and invoice-level allocations

05 External data references: AECB, Dun & Bradstreet, Creditsafe and official UAE licence portals

All figures come from a synthetic demonstration portfolio and are not live financial records.